



NSW Education Standards Authority

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Centre Number

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Student Number

**2024** HIGHER SCHOOL CERTIFICATE EXAMINATION

# Economics

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## General Instructions

- Reading time – 5 minutes
- Working time – 3 hours
- Write using black pen
- Calculators approved by NESA may be used
- Write your Centre Number and Student Number at the top of this page

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## Total marks: 100

### Section I – 20 marks (pages 2–8)

- Attempt Questions 1–20
- Allow about 35 minutes for this section

### Section II – 40 marks (pages 9–20)

- Attempt Questions 21–24
- Allow about 1 hour and 15 minutes for this section

### Section III – 20 marks (pages 21–23)

- Attempt either Question 25 or Question 26
- Allow about 35 minutes for this section

### Section IV – 20 marks (page 24)

- Attempt either Question 27 or Question 28
- Allow about 35 minutes for this section

## Section I

**20 marks**

**Attempt Questions 1–20**

**Allow about 35 minutes for this section**

Use the multiple-choice answer sheet for Questions 1–20.

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- 1** Which of the following has improving quality of life in developing countries as its main role?

  - A. World Bank
  - B. World Trade Organization (WTO)
  - C. International Monetary Fund (IMF)
  - D. Organisation for Economic Co-operation and Development (OECD)
  
- 2** Which of the following is a benefit of a centralised wage determination system?

  - A. Promotion of structural change
  - B. Creation of greater wage flexibility
  - C. Provision of a safety net for workers
  - D. Creation of greater income inequality
  
- 3** Which TWO economic objectives conflict with one another in the short term?

  - A. Price stability and full employment
  - B. Economic growth and unemployment
  - C. Income equality and external stability
  - D. Inflation and environmental sustainability
  
- 4** Which of the following is a disadvantage of free trade for a domestic economy?

  - A. Greater competition
  - B. Higher domestic prices
  - C. Higher rates of dumping
  - D. Increasing economies of scale

- 5 A foreign investor buys a 5% share in an Australian company.

How is this recorded in Australia's capital and financial account?

- A. Direct investment debit
- B. Direct investment credit
- C. Portfolio investment debit
- D. Portfolio investment credit

- 6 The following information is for a hypothetical economy.

|                        |            |
|------------------------|------------|
| Population             | 16 000 000 |
| Working age population | 11 000 000 |
| Employed people        | 7 000 000  |
| Unemployed people      | 2 000 000  |

What is the labour force participation rate for this economy?

- A. 44%
  - B. 56%
  - C. 78%
  - D. 82%
- 7 The table shows data for national income and savings for a hypothetical economy.

| <i>Year</i> | <i>Income</i><br>(\$M) | <i>Savings</i><br>(\$M) |
|-------------|------------------------|-------------------------|
| 1           | 375                    | 160                     |
| 2           | 475                    | 200                     |

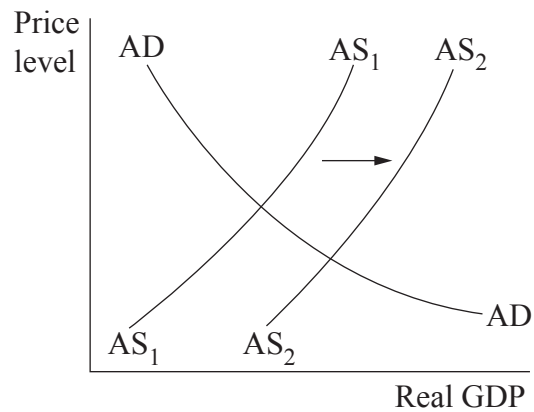
What is the value of marginal propensity to consume (MPC)?

- A. 0.34
- B. 0.40
- C. 0.60
- D. 0.80

- 8 Which of the following has the shortest implementation time lag?
- A. Fiscal policy
  - B. Monetary policy
  - C. Environmental policy
  - D. Microeconomic policy
- 9 The improved efficiency of job search agencies is most likely to reduce which of the following?
- A. The participation rate
  - B. Full-time employment
  - C. Cyclical unemployment
  - D. Frictional unemployment
- 10 Which of the following actions by the Reserve Bank of Australia would appreciate the value of the Australian dollar?

|    | <i>Cash rate</i> | <i>FOREX market transaction</i> |
|----|------------------|---------------------------------|
| A. | Increase         | Sell Australian dollars         |
| B. | Increase         | Buy Australian dollars          |
| C. | Decrease         | Sell Australian dollars         |
| D. | Decrease         | Buy Australian dollars          |

- 11 The diagram shows the aggregate demand and supply curves for an economy.



What would most likely cause the shift from  $AS_1$  to  $AS_2$ ?

- A. Reduction in tertiary education fees
  - B. Increase in the goods and services tax to 15%
  - C. Reduction in migrants arriving in the economy
  - D. Increase in government spending on aged pensions
- 12 The table shows selected information for the balance of payments for an economy with a floating exchange rate.

| <i>Category</i>      | <i>Dollars billion</i> |
|----------------------|------------------------|
| Exports of goods     | ?                      |
| Imports of goods     | 36                     |
| Net services         | 12                     |
| Net primary income   | –120                   |
| Net secondary income | –6                     |
| Capital account      | 24                     |
| Financial account    | 66                     |

What is the value of the exports of goods?

- A. –\$60 billion
- B. –\$12 billion
- C. \$54 billion
- D. \$60 billion

- 13 The government of an economy is planning to increase the local content rules of television streaming services.

Which row in the table shows the effect of the increase in local content rules on imports and short-term employment opportunities for this economy?

|    | <i>Imports</i> | <i>Short-term employment opportunities</i> |
|----|----------------|--------------------------------------------|
| A. | Increase       | Greater                                    |
| B. | Increase       | Lower                                      |
| C. | Decrease       | Greater                                    |
| D. | Decrease       | Lower                                      |

- 14 The income Gini coefficient for a hypothetical economy increases from 0.35 in Year 1 to 0.46 in Year 2.

What combination of changes in government policies is most likely to have caused the increase in the income Gini coefficient?

|    | <i>Childcare subsidies</i> | <i>Tax free threshold</i> |
|----|----------------------------|---------------------------|
| A. | Decrease                   | Decrease                  |
| B. | Decrease                   | Increase                  |
| C. | Increase                   | Decrease                  |
| D. | Increase                   | Increase                  |

- 15 Which of the following cyclical and structural factors are the most likely to affect the net primary income account?

|    | <i>Cyclical factors</i>    | <i>Structural factors</i>     |
|----|----------------------------|-------------------------------|
| A. | Exchange rate              | Terms of trade                |
| B. | Interest rates             | Low national savings          |
| C. | Government budget outcomes | Domestic business cycle       |
| D. | Narrow export base         | International competitiveness |

- 16 In a hypothetical economy, the headline inflation rate is rising faster than the underlying inflation rate.

Which of the following is most likely to have caused this situation?

- A. A rise in the global production of oil
- B. An increase in capital city house prices
- C. The opening of a new international shipping route
- D. A cyclone in domestic tropical fruit-producing locations

- 17 The cost of imported intermediate goods is rising in Australia.

All other things being equal, what is the most likely impact on Australia's exchange rate and domestic prices?

|    | <i>Exchange rate</i> | <i>Domestic prices</i> |
|----|----------------------|------------------------|
| A. | Appreciate           | Higher                 |
| B. | Appreciate           | Lower                  |
| C. | Depreciate           | Higher                 |
| D. | Depreciate           | Lower                  |

- 18 The table shows data for a hypothetical economy.

|                              | <i>Year 1 (\$bn)</i> | <i>Year 2 (\$bn)</i> |
|------------------------------|----------------------|----------------------|
| Gross domestic product (GDP) | 1200                 | 1250                 |
| Net foreign debt             | 700                  | 600                  |
| Net foreign equity           | 200                  | 250                  |
| Current account balance      | −35                  | −36                  |

Which of the following statements is correct about this economy?

- A. Net foreign liabilities as a percentage of GDP has decreased, leading to a deterioration in external stability.
- B. Net foreign liabilities as a percentage of GDP has increased, leading to an improvement in external stability.
- C. Current Account Balance as a percentage of GDP has decreased, leading to an improvement in external stability.
- D. Current Account Balance as a percentage of GDP has increased, leading to a deterioration in external stability.

- 19 The table shows information for a hypothetical economy.

| <i>Year</i> | <i>Trade Weighted Index</i> | <i>Terms of trade</i> |
|-------------|-----------------------------|-----------------------|
| 1           | 65                          | 110                   |
| 2           | 60                          | 100                   |

Which of the following best explains the reason for changes in the Trade Weighted Index and terms of trade from Year 1 to Year 2 in this economy?

- A. A decrease in global inflation
  - B. An increase in domestic interest rates
  - C. An increase in domestic unemployment
  - D. A decrease in global demand for this economy's exports
- 20 The following shows nominal GDP and price data (CPI) for an economy.

|        | <i>Nominal GDP</i><br>(\$M) | <i>Consumer</i><br><i>price index (CPI)</i> |
|--------|-----------------------------|---------------------------------------------|
| Year 1 | 600                         | 110                                         |
| Year 2 | 675                         | 120                                         |

Which of the following statements is true for this economy?

- A. Real economic growth in Year 2 is 3.1% and inflation is 10%.
- B. Real economic growth in Year 2 is 3.1% and inflation is 9.1%.
- C. Real economic growth in Year 2 is 12.5% and inflation is 10%.
- D. Real economic growth in Year 2 is 12.5% and inflation is 9.1%.



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Centre Number

## Economics

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Student Number

### Section II Answer Booklet

40 marks

Attempt Questions 21–24

Allow about 1 hour and 15 minutes for this section

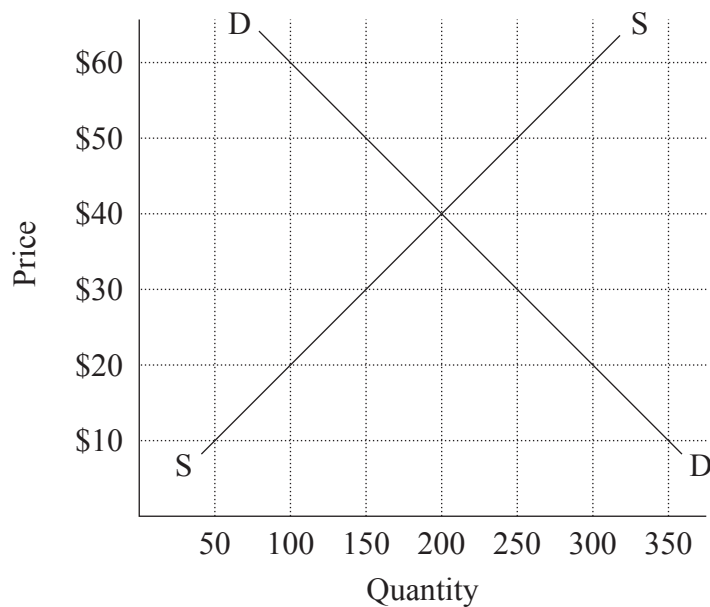
#### Instructions

- Write your Centre Number and Student Number at the top of this page.
- Answer the questions in the spaces provided. These spaces provide guidance for the expected length of response.
- Extra writing space is provided at the back of this booklet. If you use this space, clearly indicate which question you are answering.

Please turn over

**Question 21** (10 marks)

- (a) The diagram shows the domestic demand and supply for a particular good within an economy. The world price is \$10.



- (i) What is the quantity of imports at the world price of \$10? 1

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- (ii) Calculate the government tariff revenue if a tariff of \$20 is added to the world price. 1

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**Question 21 continues on page 11**

Question 21 (continued)

- (b) Describe an implication of Australia's participation in ONE multilateral trade agreement.

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Name of multilateral trade agreement: .....

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**Question 21 continues on page 12**

Question (21 continued)

- (c) Explain the impact of protectionist policies of other countries on components of Australia's current account.

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**End of Question 21**

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**Question 22** (10 marks)

- (a) Outline ONE cause of inflation in Australia.

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- (b) Explain how domestic inflation can affect Australia's international competitiveness.

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**Question 22 continues on page 14**

Question 22 (continued)

- (c) Analyse the impact of labour market policies on inflation in the Australian economy.

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**End of Question 22**

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**Question 23 (10 marks)**

- (a) Outline an environmental issue that is affecting the Australian economy. **2**

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- (b) A local government plans to install an electric-vehicle charging station near a shopping centre. **3**

Explain ONE private and ONE social benefit of this plan.

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**Question 23 continues on page 16**

Question 23 (continued)

- (c) Assess the effectiveness of ONE market-based policy in managing environmental issues in the Australian economy.

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**End of Question 23**

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**Question 24 (10 marks)**

- (a) Distinguish between international and regional business cycles. 2

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- (b) Explain ONE reason for the difference between advanced and emerging economies. 3

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**Question 24 continues on page 18**

Question 24 (continued)

- (c) For an economy other than Australia, analyse the effects of globalisation on economic development.

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Name of economy: .....

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**End of Question 24**

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**Section II extra writing space**

**If you use this space, clearly indicate which question you are answering.**

**Section II extra writing space**

**If you use this space, clearly indicate which question you are answering.**

Do NOT write in this area.

## Economics

### Section III

**20 marks**

**Attempt either Question 25 or Question 26**

**Allow about 35 minutes for this section**

Answer the question in the Sections III and IV Writing Booklet. Extra writing booklets are available.

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Your answer will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
  - use the information provided
  - apply relevant economic terms, concepts, relationships and theory
  - present a sustained, logical and cohesive response
- 

**Please turn over**

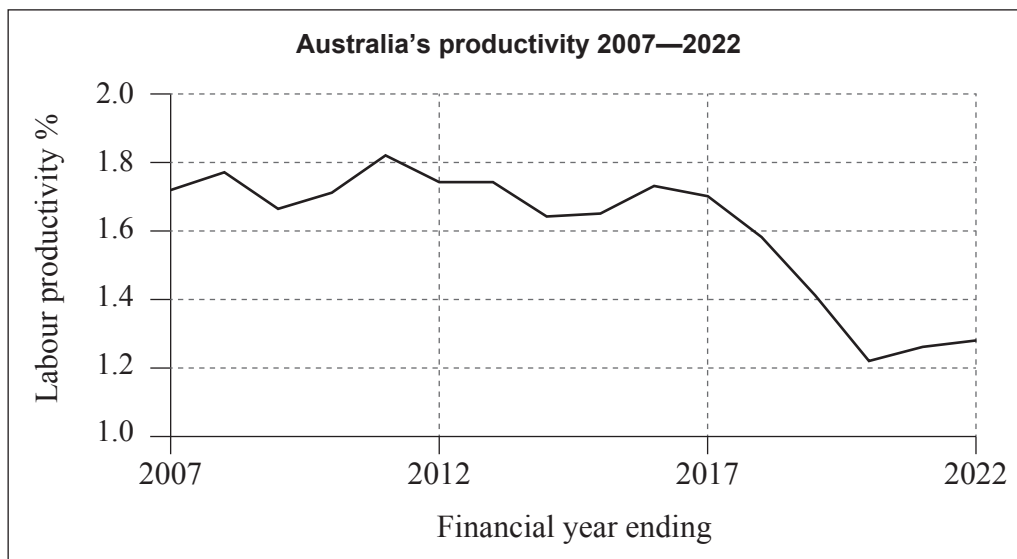
### Question 25 (20 marks)

Discuss the macroeconomic and microeconomic policies available to achieve sustainable economic growth in Australia. In your answer, refer to the information provided.

Australia's economic performance has been very good since flexible inflation targeting was introduced in the early 1990s. Inflation has averaged around the midpoint of the RBA's target of 2 to 3 per cent. The variability of output and unemployment has been lower than in earlier decades. Australia's economic performance has been at least on par with other comparable economies.

Reserve Bank of Australia, 2023

© Commonwealth of Australia –  
<https://rbareview.gov.au/final-report>



Treasury, Australian Government

Adapted from Australian Bureau of Statistics –  
Australian System of National Accounts 2021–22 (released in 2023) –  
[https://treasury.gov.au/sites/default/files/2023-07/measuring-what-matters-statement020230721\\_0.pdf](https://treasury.gov.au/sites/default/files/2023-07/measuring-what-matters-statement020230721_0.pdf),  
accessed 11 November

**OR**

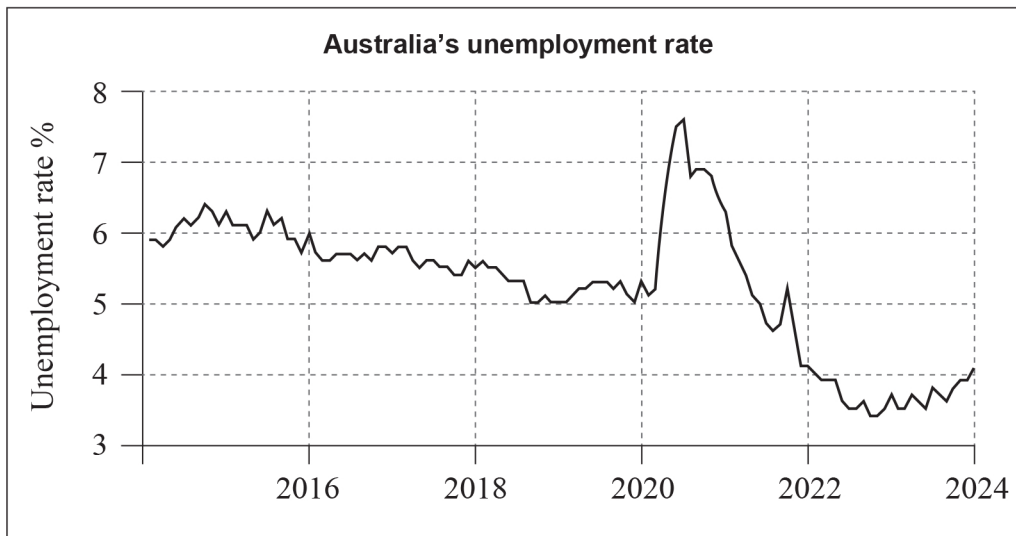
**Question 26** (20 marks)

Discuss the macroeconomic and microeconomic policies available to achieve full employment in Australia. In your answer, refer to the information provided.

Microeconomics is, ... about really delving into markets and redesigning them to work more efficiently. Doing so allows us to produce more output from a given set of inputs – and that is the ultimate driver of rising living standards.

*The Sydney Morning Herald*, October 2019

© Sydney Morning Herald



Australian Bureau of Statistics

Adapted from Australian Bureau of Statistics – Labour Force, Australia (released in 2024) – <https://www.abs.gov.au/statistics/labour/employment-and-unemployment/labour-force-australia/sep-2024>, accessed 12 November 2024

**Please turn over**

## **Section IV**

**20 marks**

**Attempt either Question 27 or Question 28**

**Allow about 35 minutes for this section**

Answer the question in the Sections III and IV Writing Booklet. Extra writing booklets are available.

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Your answer will be assessed on how well you:

- demonstrate knowledge and understanding relevant to the question
  - apply relevant economic information, terms, concepts, relationships and theory
  - present a sustained, logical and cohesive response
- 

### **Question 27 (20 marks)**

Explain factors contributing to international economic integration.

**OR**

### **Question 28 (20 marks)**

Explain the impacts of an appreciation of the Australian dollar on individuals, firms and government in Australia.

**End of paper**